

12 million transactions.

As of Q1FY25, ONDC had reached more than 1,200 cities with close to 0.6 million sellers on the network and had 72 seller apps. In the first quarter of 2023-24, the platform had 31 seller apps. And with 22 buyer apps in Q1FY25, ONDC recorded a significant increase from the year-ago period, when the count was only nine.

Pradeep K. Sampath, Co-founder and CEO of nStore Retech Pvt. Ltd underscores the importance of widespread participation for the network's success. "The key is incorporating as many participants as possible. They, whether buyers or sellers, must engage with the network as nodes. As the number of people and their respective ecosystems grow within the network, the potential for success increases," explains Sampath.

nStore Retech is an integrated digital order-to-delivery and customer engagement solutions company that has been associated with ONDC since its inception.

THE ROAD AHEAD

Despite its promising start, ONDC faces significant challenges. The dominance of e-commerce giants like Walmart-backed Flipkart and Amazon, which hold 48% and 35% market share, respectively, according to reports from RedSeer and Mordor Intelligence, poses a substantial hurdle. ONDC's market penetration stands at just 4.3%, even with strong support from the government.

Sources in the know say that there is a pressing demand for private investment to accelerate the platform's growth and enhance its presence. The complexity in understanding the network could pose another challenge.

A seller app partner noted that while ONDC has not yet

A GAME CHANGER IN THE MAKING



ONDC allows businesses to be visible across multiple buyer applications once they join the network, eliminating the need to manually register on each platform. It saw a dramatic increase in transactions, growing from 1,200 in January 2023 to 12 million in July 2024



The success of ONDC depends on widespread participation from both sellers and buyers, which will enhance the network's potential. As of now, ONDC faces significant competition from dominant players like Flipkart and Amazon, and its current market penetration is only 4.3%



ONDC has the potential to empower marginalised communities and entrepreneurs, although a significant knowledge and accessibility gap persists

matched the success of the other platforms, there is considerable room for growth. On the buyer side, issues with product availability and limited selection persist, highlighting the need for greater consumer awareness. "How many in our circle are aware of ONDC and use it?" questions the partner, on condition of anonymity.

Bhavik Vasa, Founder of Get-Vantage, a fintech platform that connects financiers and investors to MSMEs, urged patience. "As you look back, all digital public infrastructure, even Aadhaar, in its early days had friction, with things not working and other issues. But I think what we could try—and all of us as players are trying—[is] to work as catalysts. If we can give UPI to the world, ONDC will [also] be something significant, but it needs some time," he says.

Lakshmi Venkatraman Venkatesan, Founding and Managing Trustee of Bhartiya Yuva Shakti Trust, a platform for Indian youth to turn their business ideas into profitable enterprises, emphasised ONDC's potential to empower marginalised communities, including women, especially those residing in remote areas. However, she points out a significant knowledge gap. "Our survey revealed that 44% of those surveyed cited a lack of awareness about online businesses," she says.

Concerns also lie in the integration of big brands like Domino's and KFC, especially because the platform was created to help smaller players. But Koshy reassures that the network was created to provide equal opportunities for all enterprises, big or small, highlighting that 80% of merchants are small sellers.

"We make a lot of effort, directly by us as well as through multiple agencies, to help these small enterprises. While they get the same position in the market [as the big